

25STCV19189 25STCV19189

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Case Number: 25STCV19189 Hearing Date: August 7, 2026 Dept: 617

Dept.

617

Date:

8-7-26

Case

#: 25STCV19189

Trial

Date: None Set

DEMURRER

MOVING

PARTY: Defendants, Danielle Davis, Ronald Hodge, Sr., and Ronald Hodge, Jr.

RESPONDING

PARTY: Plaintiff, Kathy Collins, as the administrator of the Estate of Everett

Bell

RELIEF

REQUESTED

Demurrer

to First Amended Complaint

SUMMARY

OF ACTION

On

July 1, 2025, Plaintiff Kathy Collins filed the instant action as the administrator of her father, Everett Bell's, estate. She alleges that Defendant Ronald Hodge, Sr. unduly influenced her elderly father to sign a power of attorney and Hodge Sr., with the assistance of Defendants Danielle Davis, Ronald Hodge, Jr., Janie Hodge, and Christina Lara, appropriated Bell's assets for their and their companies' benefit. This includes transfers to Defendant Paving The Way Foundation (PTW). Plaintiff further alleges concealment of Bell's assets through Defendant Sandy Paradise Recovery LLC (Paradise). On September 12, 2025, Plaintiff filed a First Amended Complaint for: (1) Breach of Fiduciary Duty; (2) Breach of Loyalty; (3) Conversion; (4) Violation of Penal Code Section 496; (5) Elder Abuse; (6) Fraud; and (7) Accounting.

RULING: Sustained in part.

Defendants

Davis, Hodge Sr., and Hodge Jr. demur to each cause of action in Plaintiff's First Amended Complaint, arguing that Plaintiff fails to sufficiently state her claims.[1]

Plaintiff opposes the demurrer, maintaining the sufficiency of her allegations. Defendants' demurrer is sustained with leave to amend as to the breach of fiduciary duty, breach of loyalty, elder abuse, and accounting claims only as to Davis and Hodge Jr. The demurrer to the conversion claim is sustained with leave to amend as to all demurring Defendants. The demurrer to the Penal Code section 496 claim is overruled.

A

demurrer is an objection to a pleading, the grounds for which are apparent from either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc., § 430.30, subd. (a); see also *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The purpose of a demurrer is to challenge the sufficiency of a pleading "by raising questions of law." (*Postley v. Harvey* (1984) 153 Cal.App.3d 280, 286.) "In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties." (Code Civ. Proc., § 452.) The court "treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions

of fact or law” (Berkley v. Dowds (2007) 152 Cal.App.4th 518, 525.) In applying these standards, the court liberally construes the complaint to determine whether a cause of action has been stated. (Picton v. Anderson Union High School Dist. (1996) 50 Cal.App.4th 726, 733.) “If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer.” (Quelimane Co. v. Stewart Title Guaranty Co. (1998) 19 Cal.4th 26, 38.)

First

Cause of Action: Breach of Fiduciary Duty

Defendants

argue that Plaintiff’s breach of fiduciary duty claim fails because she does not allege breach of a fiduciary duty owed by Davis and Hodge Jr. Plaintiff responds that Davis and Hodge Jr.’s liability is premised on their aiding and abetting Hodge Sr.’s alleged breach of fiduciary duty.

“Liability

may ... be imposed on one who aids and abets the commission of an intentional tort if the person (a) knows the other’s conduct constitutes a breach of duty and gives substantial assistance or encouragement to the other to so act or (b) gives substantial assistance to the other in accomplishing a tortious result and the person’s own conduct, separately considered, constitutes a breach of duty to the third person.” (Casey v. U.S. Bank Nat. Assn. (2005) 127 Cal.App.4th 1138, 1144.)

The

demurrer is sustained as to Davis and Hodge Jr. The precise breach of fiduciary duty alleged against Hodge Sr. is his wrongful “taking, concealing and/or disposing of hundreds of thousands of dollars of assets held by Mr. Bell.” [FAC ¶ 50.] (Casey, supra, 127 Cal.App.4th at p. 1149 [court must first identify the breach of fiduciary duty for which plaintiff seeks to hold defendant liable].) Most of Plaintiff’s allegations regarding Davis and Hodge Jr.’s assistance are conclusory as they do not explain how such assistance occurred. [See, e.g., id. ¶¶ 24, 27-29, 31-32.] The only specific allegations of their aiding and abetting are Hodge Jr.’s appointment with an estate planning attorney to transfer certain properties Bell was allegedly pressured to invest in to LLCs and the transfer

of assets from Defendant Hodge Enterprise LLC, which Davis co-owned, to Paradise. [Id. ¶¶ 36-37, 44.] But there are no allegations that any of the properties were transferred or that any of Bell's assets were ever transferred to Enterprise. There are thus no allegations of Davis and Hodge Jr.'s substantial assistance of Hodge Sr.'s breach of fiduciary duty. Because there is a reasonable possibility that Plaintiff can amend her complaint to sufficiently allege Davis and Hodge Jr.'s substantial assistance, she is granted leave to amend.

Second

Cause of Action: Breach of Loyalty

Plaintiff's

breach of loyalty claim is duplicative of her breach of fiduciary duty cause of action and the demurrer to this claim is sustained for the same reasons. Plaintiff is similarly granted leave to amend.

Third

Cause of Action: Conversion

The

demurrer to Plaintiff's conversion claim is sustained because the claim is barred by the statute of limitations. The statute of limitations for conversion is 3 years. (Code Civ. Proc., § 338, subd. (c)(1).) It is "triggered by the act of wrongfully taking property." (Bono v. Clark (2002) 103 Cal.App.4th 1409, 1433.) The complaint indicates alleged conversion of funds in 2016 and possibly in 2018. [See FAC ¶¶ 20-23, 25-28, 34.] Plaintiff's filing of her conversion claim in 2025 is therefore untimely. The 2024 sale of the Comstock Property and concealment of assets do not bring Plaintiff's claim within the limitations period because conversion only applies to personal property (Munger v. Moore (1970) 11 Cal.App.3d 1, 7) and the concealment is distinct from and occurred after the wrongful taking of funds. And while an exception exists where "a fiduciary has concealed the material facts giving rise to the cause of action," Plaintiff's complaint does not state when she discovered the misappropriation of Bell's funds. (Bono, supra, 103 Cal.App.4th at p. 1433.) [FAC ¶ 42.] Because there is a reasonable possibility that Plaintiff can allege acts of conversion within the statutory period and/or plead facts invoking application of the discovery rule, she is granted leave to amend.

Fourth

Cause of Action: Violation of Penal Code Section 496

Defendants

argue that Plaintiff's cause of action for violation of Penal Code section 496 fails because her allegations of Defendants' acts are conclusory and fail to state a civil cause of action.

Penal

Code section 496, subdivision (a), makes it a crime for "[e]very person who buys or receives any property that has been stolen or that has been obtained in any manner constituting theft or extortion, knowing the property to be so stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be so stolen or obtained" Any person injured by a violation of subdivision (a) "may bring an action for three times the amount of actual damages, if any, sustained by the plaintiff, costs of suit, and reasonable attorney's fees." (Pen. Code, § 496, subd. (c).) Theft includes fraudulently appropriating property entrusted to a person. (Id. § 484, subd. (a).)

The

demurrer to the Penal Code claim is overruled. Plaintiff sufficiently alleges that Hodge Sr. appropriated property entrusted to him via the power of attorney. [See, e.g., FAC ¶ 23.] Plaintiff further alleges that Davis and Hodge Jr. received this property, knowing that Hodge Sr. was the power of attorney and aware of his appropriation scheme. [Id. ¶¶ 24, 51.] While these facts may be insufficient to plead Davis and Hodge Jr.'s assistance in the appropriation, they still show that they received the funds knowing they were misappropriated. This is sufficient to state a Penal Code section 496 claim against them. The demurrer to this claim is therefore overruled.

Fifth

Cause of Action: Elder Abuse

The

demurrer to the elder abuse claim is overruled as to Hodge Sr. but sustained as to Davis and Hodge Jr. Defendants contend that Plaintiff's elder abuse claim is conclusory. Plaintiff's cause of action is predicated on the alleged financial abuse of Bell. Financial abuse occurs when a person "[t]akes, secretes, appropriates, obtains, or retains real or personal property of an elder or dependent adult for a wrongful use or with intent to defraud, or both," or

assists in doing so. (Welf. & Inst. Code, § 15610.30, subd. (a)(1)-(2).)

Here, Plaintiff alleges that Hodge Sr. appropriated Bell's funds "to pay for jewelry, trips to casinos, real property and 'donations' to PTW" (i.e., for a wrongful purpose). [FAC ¶ 23.] But, as described before, the allegations regarding Davis and Hodge Jr.'s assistance in the appropriation are conclusory. Even if liability is sought to be imposed on them based on their alleged receipt of the appropriated funds, the complaint is devoid of specific allegations of their wrongful or intended use of the funds. Because there is a reasonable possibility that Plaintiff can cure this defect, she is granted leave to amend.

Sixth

Cause of Action: Fraud

Defendants

argue that Plaintiff's fraud cause of action fails because she fails to allege her claim with requisite particularity. Because this claim is only asserted against Hodge Sr., Davis and Hodge Jr. do not have standing to challenge it. (See *Carter v. Prime Healthcare Paradise Valley LLC* (2011) 198 Cal.App.4th 396, 410 ["Allegations of misconduct directed against one defendant, however, do not state a cause of action against another defendant against whom the allegations of misconduct are not directed"].) The issue is thus whether Plaintiff sufficiently alleges Hodge Sr.'s fraudulent conduct.

"The

elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.) Fraud must be pled with specificity; conclusory allegations are insufficient. (*Id.* at p. 645.)

This requires "pleading facts which show how, when, where, to whom, and by what means the representations were tendered." (*Ibid.*)

The

demurrer to the fraud claim is sustained. The basis for Plaintiff's fraud claim is Hodge Sr.'s alleged misrepresentation to her that Bell had no assets at the time of his death in 2021. [FAC ¶ 87.] But other than the alleged misrepresentation, Plaintiff's remaining allegations in support of her claim merely recite the elements and fail to present ultimate facts. [*Id.* ¶¶ 88-93.]

Because there is a reasonable possibility that Plaintiff can cure this pleading defect, she is granted leave to amend.

Seventh

Cause of Action: Accounting

Defendants

contend that Plaintiff's accounting claim fails because of the lack of fiduciary duty owed by Davis and Hodge Jr. and Plaintiff's failure to allege a need for an accounting.

"A

cause of action for an accounting requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting." (Teselle v. McLoughlin (2009) 173 Cal.App.4th 156, 179.) A fiduciary relationship is not necessary; "[t]he right to an accounting can arise from the possession by the defendant of money or property which, because of the defendant's relationship with the plaintiff, the defendant is obliged to surrender." (Id. at pp. 179-80.) But "[s]ome underlying misconduct on the part of the defendant must be shown to invoke the right to this equitable remedy." (Prakashpalan v. Engstrom, Lipscomb & Lack (2014) 223 Cal.App.4th 1105, 1137.) "An action for accounting is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation." (Teselle, supra, 173 Cal.App.4th at p. 179.)

The

demurrer to the accounting claim is sustained only as to Davis and Hodge Jr. Plaintiff alleges a fiduciary relationship between Bell and Hodge Sr. via the power of attorney as well as a series of transactions by Hodge Sr. involving Bell's property such that the amount due "cannot be ascertained without an accounting of the receipts and disbursements of the transactions" [FAC ¶ 98.] However, no relationship is alleged between Hodge Jr. and Bell or between Davis and Bell sufficient to give rise to an accounting claim against them. Because there is a reasonable possibility that Plaintiff can amend her complaint to cure these defects, she is granted leave to amend.

Plaintiff

is granted 30 days' leave to amend. Plaintiff may only add facts in support of the successfully challenged claims. (Harris

v. Wachovia Mortgage, FSB (2010) 185 Cal.App.4th 1018, 1023.) If Plaintiff declines or fails to file an amended complaint, Defendants shall answer the operative complaint within 10 days of the lapsed deadline. Any new causes of action outside the scope of the order may be addressed via a motion to strike.

Defendants
to give notice.

[1] Defendants
also demur on grounds of uncertainty. Because the First Amended Complaint sufficiently apprises Defendants of the issues they are being asked to meet, the demurrer on uncertainty grounds is overruled. (Williams v. Beechnut Nutrition Corp. (1986) 185 Cal.App.3d 135, 139, fn. 2.)

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Date:
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Trial
Date: None Set

DEMURRER

MOVING
PARTY: Defendants, Janie Hodge, Christina Lara, and Paving the Way Foundation

RESPONDING
PARTY: Plaintiff, Kathy Collins, as the administrator of the Estate of Everett Bell

RELIEF
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Demurrer

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SUMMARY
OF ACTION

On

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RULING: Sustained.

Defendants

Janie Hodge, Christina Lara, and PTW demur to the first through fifth and seventh causes of action in Plaintiff's First Amended Complaint. They argue that the claims are time-barred and insufficiently pled. Plaintiff opposes the demurrer, maintaining her claims are timely and sufficiently pled. Defendants' demurrer is sustained with leave to amend.

Defendants'

demurrer to Plaintiff's claims is sustained because they are barred by the statute of limitations. The statute of limitations for breach of fiduciary duty is 4 years (3 years if the breach is fraudulent). (*American Master Lease LLC v. Idanta Partners, Ltd.* (2014) 225 Cal.App.4th 1451, 1479.) The limitations period is 1 year for the Penal Code section 496 claim and 3 years for the conversion claim. (*Prudential Home Mortgage Co. v. Superior Court* (1998) 66 Cal.App.4th 1236, 1242 ["T]he settled rule in California is that statutes which provide for recovery of damages additional to actual losses incurred, such as double or treble damages, are considered penal in nature [citations], and thus governed by the one-year period of limitations stated in section 340, subdivision (1)"]; Code Civ. Proc., § 338, subd. (c)(1).) And the statute of limitations for the financial elder abuse and accounting

claims are 4 years. (Welf. & Inst. Code, § 15657.7; Code Civ. Proc., § 343.)

The complaint identifies the appropriation, conversion of funds, and obtainment of converted funds occurred in 2016 and 2018. [FAC ¶¶ 20-28, 34.] Plaintiff did not file these claims until 2025 and they are thus untimely.

The

sale of the Comstock Property in 2024 and Plaintiff's allegations concerning her eventual discovery of Hodge Sr. and Defendant's alleged scheme do not make the claims timely. The complaint indicates that the appropriation, conversion, and obtainment of funds occurred well before sale of the Comstock Property and Plaintiff does not explain how its sale, at a time when Hodge Sr. held title, makes her claims timely. (Badie v. Bank of America (1998) 67 Cal.App.4th 779, 784-85 ["When [a party] fails to raise a point, or asserts it but fails to support it with reasoned argument and citations to authority, we treat the point as waived".]) Plaintiff also cannot take advantage of the discovery rule because she does not state when she discovered the misappropriation of Bell's funds. [FAC ¶ 42.] (Czajkowski v. Haskell & White, LLP (2012) 208 Cal.App.4th 166, 174-75.) Because there is a reasonable possibility that Plaintiff can amend her complaint to allege actionable acts within the limitations period and/or facts invoking application of the discovery rule, she is granted leave to amend.

Plaintiff

is granted 30 days' leave to amend. Plaintiff may only add facts in support of the successfully challenged claims. (Harris v. Wachovia Mortgage, FSB (2010) 185 Cal.App.4th 1018, 1023.) If Plaintiff declines or fails to file an amended complaint, Defendants shall answer the operative complaint within 10 days of the lapsed deadline. Any new causes of action outside the scope of the order may be addressed via a motion to strike.

Defendants

to give notice.